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Adani Group's new businesses are setting the foundation for future growth

Company	Sector	Status	Market potential
Adani New Industries Ltd	Green energy	Targeting 25 GW of renewable energy capacity by 2025 and later moving to 45 GW in the following five years	India's target of 450 GW of renewables by 2030
AdaniConneX	Data centre	Targeting 1-GW data centre platform by 2030	India's data centre market is set to touch \$520 billion by 2030
Adani Airport Holdings Ltd	Airport management	Handles 25 per cent of passenger traffic and 40 per cent of air cargo	Investment opportunity of ₹2.3 lakh crore between FY23 and FY30, according to a Praxis Global Alliance study
Adani Road Transport Ltd	Infra construction	Portfolio of 14 construction and operation contracts of 5,000+ lane km	- The government plans to develop 60,000 km of roads in the next five years - It aims to increase the rate of highway-building from 32 km a day to 40 km
Adani Defence & Aerospace	Aviation	Bagged contracts for over ₹1,000 crore from the Indian armed forces	Government's goal to achieve \$26-billion in turnover in defence goods by 2025, involving an investment of \$10 billion

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production of green hydrogen. It is also foraying into downstream products like green ammonia, urea, methanol and ethanol.

AdaniConneX, a joint venture in the data space with US-headquartered EdgeConneX, was created last February to build 1 GW of data capacity over the next 10 years. It has already commissioned the first data centre of 17 MW in Chennai. AdaniConneX is building hyperscale campuses in over half a dozen big cities, all powered by renewable energy. This power intensive business is expected to start free cash flows from this year.

Adani Airport Holdings Ltd (AAHL), which is part of the group, got into the airports business two years ago with a portfolio of six brownfield airports. This year, it completed the acquisition of two more airports—Mumbai Airport and the greenfield Navi Mumbai Airport. Mumbai Airport, acquired from the GVK Group, is India's

second-busiest airport by both passenger and cargo traffic (after Delhi airport). AAHL is already the largest airports operator in the country with 25 per cent share of passenger traffic and 40 per cent share of air cargo. In 2021-22, it handled 36.9 million passengers, 320,000-plus air traffic movements and 665,000 MT cargo across seven operational airports. "We are nearly 90 per cent of the pre-Covid levels in terms of passenger and air traffic movement," says a company executive. AAHL is giving final shape to its strategy of targeting non-aero revenues. The work at Navi Mumbai Airport is progressing well and the airport is expected to open by the second half of 2024.

This October, Adani Defence & Aerospace announced the acquisition of Air Works, India's biggest MRO (maintenance, repair and operations) firm. Air Works is India's oldest MRO with presence across 27 cities and half a dozen mainte-

nance bays. Another new business, Adani Road Transport Ltd (ARTL), is building national highways, expressways, tunnels, metro rail, and railways. In a short period, it has built an order book of 14 construction and operation contracts of over 5,000 lane km. "These new businesses are already cash flow positive. Our investment will earn a return over a certain period of time when these businesses reach a certain scale. The airports business will reach that stage by 2025. Hydrogen will hit that mark in 2026-27. Roads will be there by 2024-25. The data centre business will reach that stage by 2027-28," reveals Singh.

A **DANI IS AMONG** the very few entrepreneurs who are expanding when private capex is stagnant. "The common thread in Adani's expansion is growth opportunities, de-risking the business model, managing regulatory issues, timely execution of